CHIPOTLE MEXICAN GRILL —— NYSE: CMG · FP&A CASE STUDY

Driver-Based 3-Statement Model & FP&A Case Study

FY2025 budget-vs-actual variance, a 2026–2027 forecast and a Base / Bull / Bear scenario engine, built from Chipotle's FY2025 Form 10-K.

FY2025 AT A GLANCE

$11.93B	$1.54B	16.2%	4,042
Revenue (+5.4%)	Net income	Operating margin	Restaurants

Ajay Patil · MS Finance, UT Dallas

swipe →

Four numbers that tell the story

$828M

FY2025 revenue below budget (−6.5%)

Almost all of it from lower sales per restaurant, not slower openings.

16.2%

Operating margin held

Only 27 bps below the 16.5% budget; costs fell nearly in line with sales.

$14.38B

2027E revenue, Base case

~8% unit growth a year; comps flat in 2026, +3% in 2027.

1.7×

2025 buybacks vs. free cash flow

$2.43B repurchased against $1.45B of free cash flow.

Bottom line. Chipotle's growth engine (new restaurants) stayed on plan in 2025; traffic and ticket did not. The forecast hinges on comparable sales recovering.

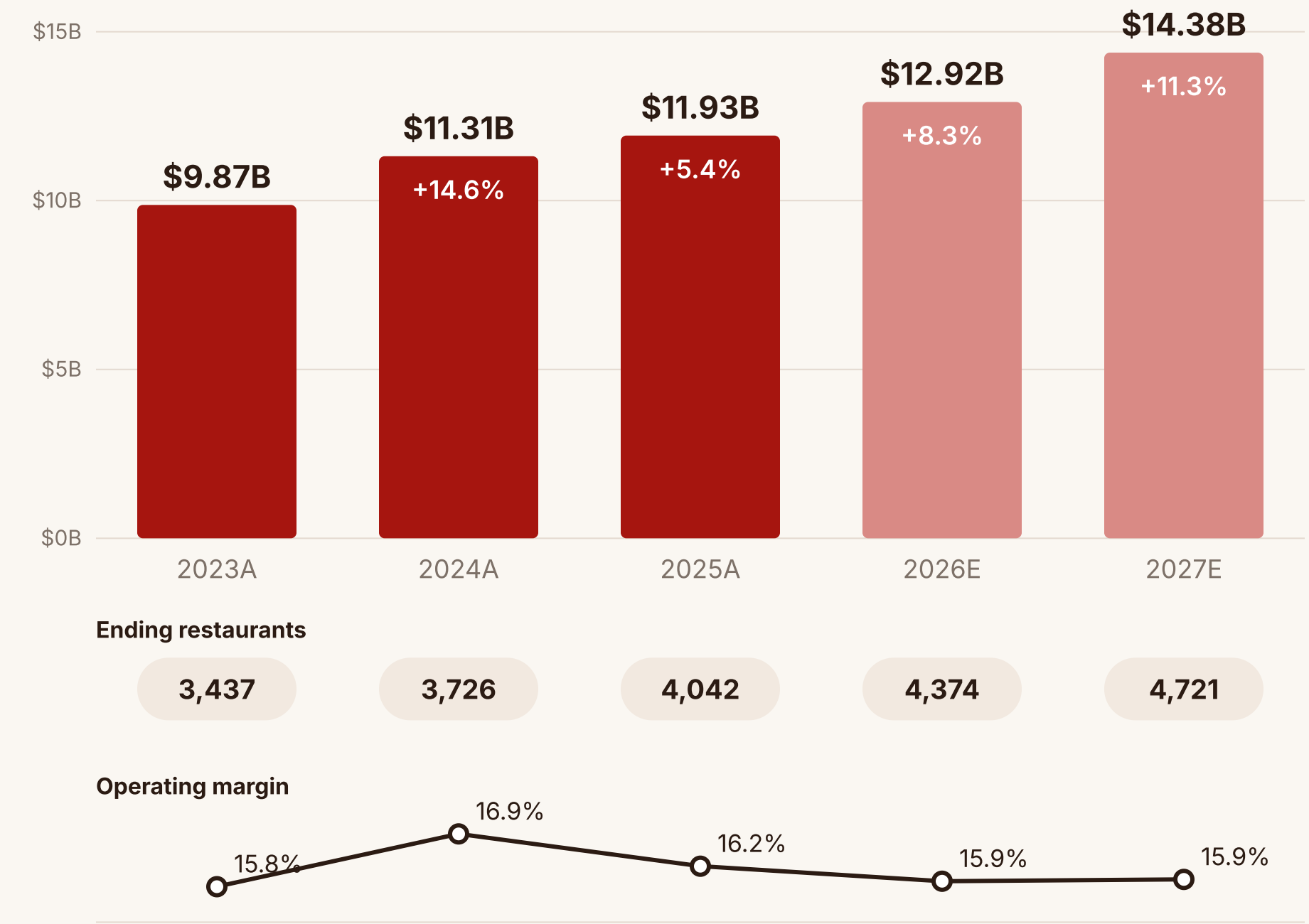
One driver tree, three linked statements

FY2025 actuals shown. In the forecast, the scenario switch sets every driver.



Revenue climbs to $14.4B by 2027

Growth comes from new restaurants first, comparable sales second



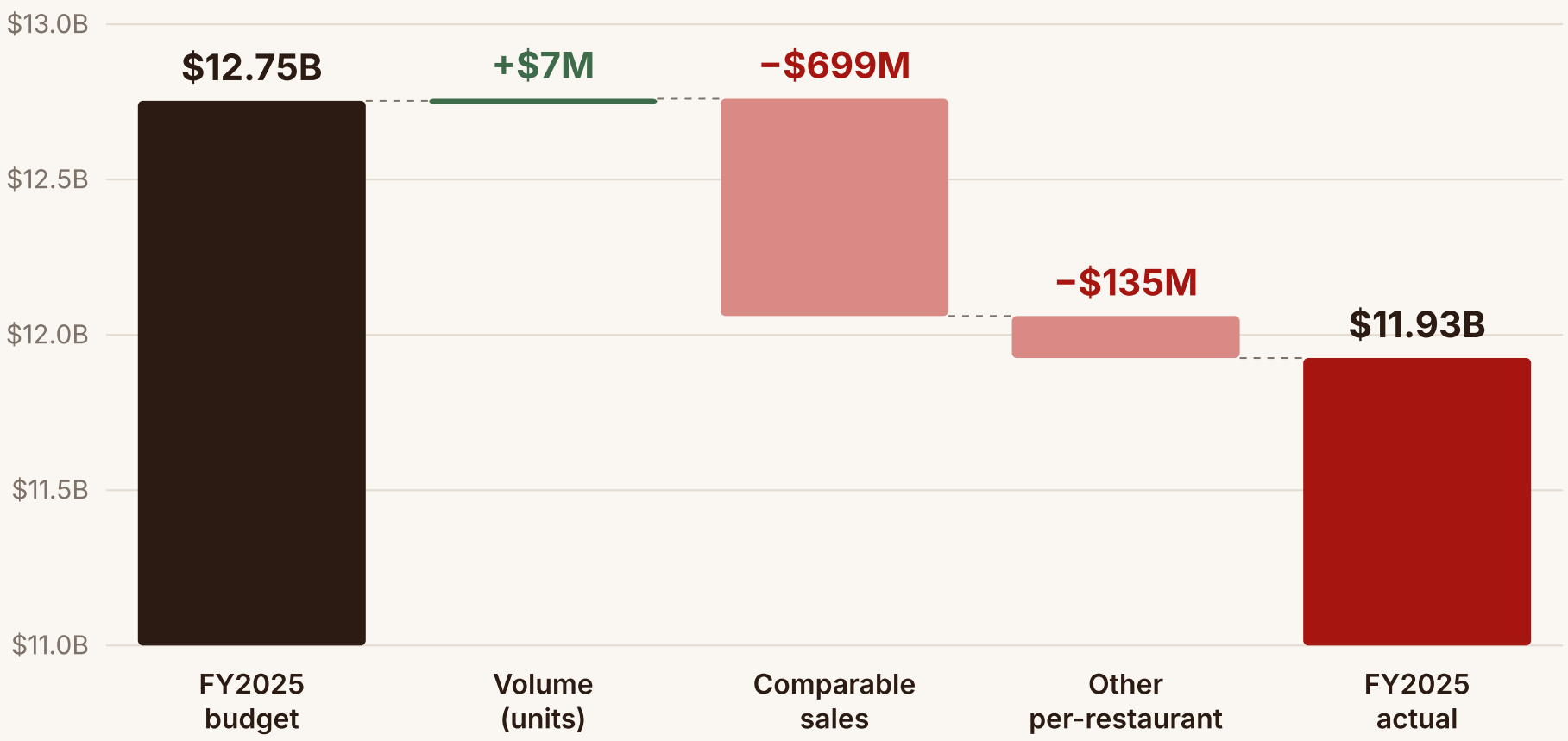
Ending restaurants

2023A	2024A	2025A	2026E	2027E
3,437	3,726	4,042	4,374	4,721

Operating margin

The miss came from sales per restaurant

Revenue bridge: budget built from Feb 2025 guidance vs. actual



Axis starts at $11.0B so the changes are visible.

New openings

334 vs 330

+4 restaurants

Comparable sales

−1.7% vs +4.0%

−570 bps

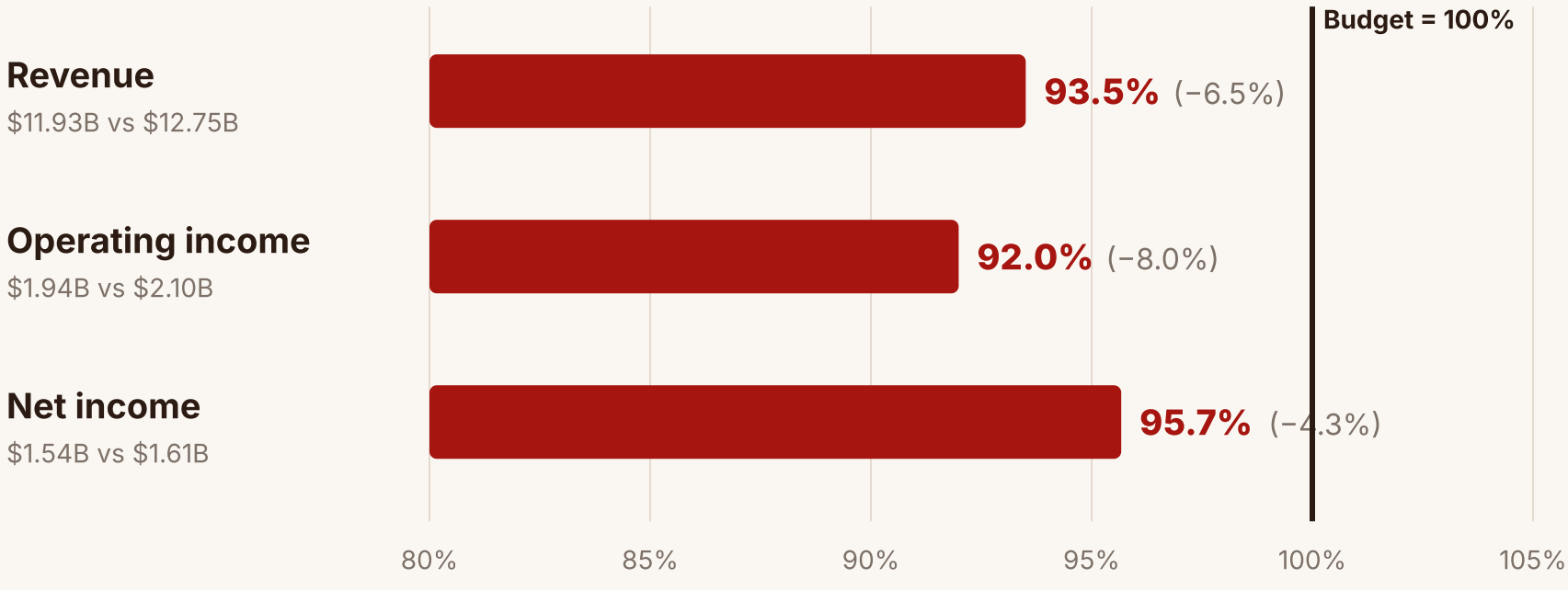
Revenue per restaurant

$3.07M vs $3.29M

−6.5%

Margin held; net income missed least

FY2025 actual as a % of budget



Operating margin

16.2% vs 16.5%

Costs fell nearly in line with the 6.5% revenue miss.

Effective tax rate

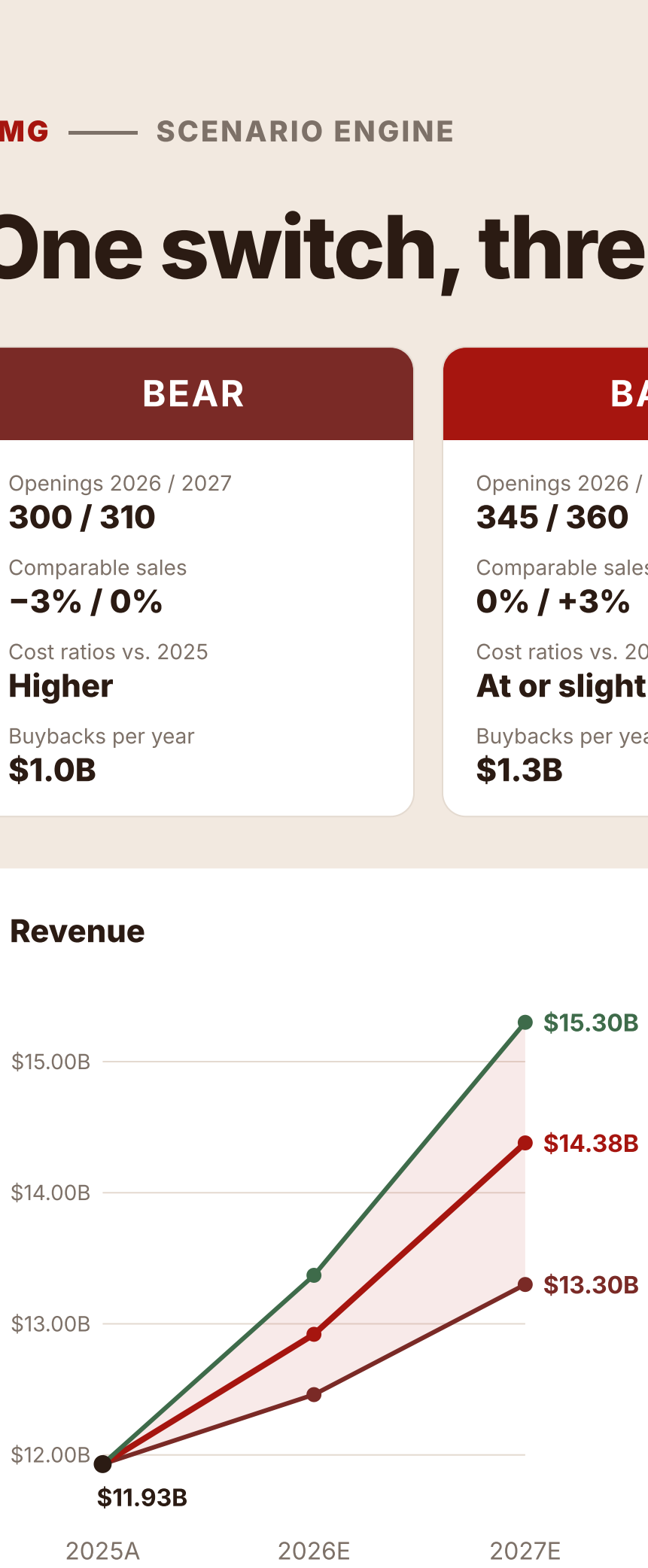
23.6% vs 26%

A lower tax rate and $73.7M of interest income (vs $65M) cushioned net income.

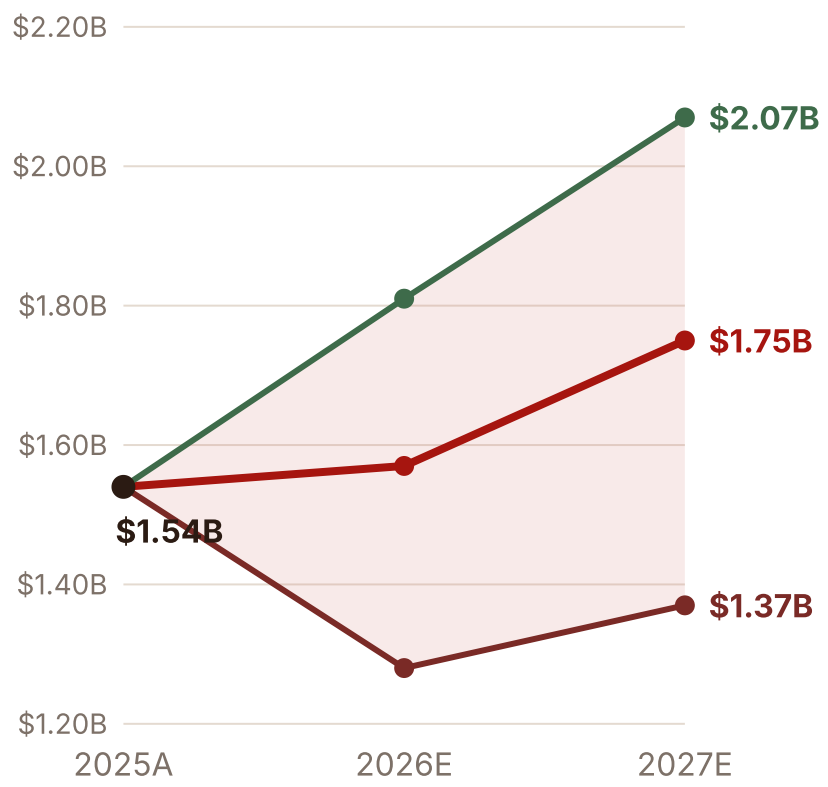
One switch, three outcomes

BEAR	BASE	BULL
Openings 2026 / 2027 **300 / 310**	Openings 2026 / 2027 **345 / 360**	Openings 2026 / 2027 **380 / 400**
Comparable sales **−3% / 0%**	Comparable sales **0% / +3%**	Comparable sales **+3% / +5%**
Cost ratios vs. 2025 **Higher**	Cost ratios vs. 2025 **At or slightly above**	Cost ratios vs. 2025 **Lower**
Buybacks per year **$1.0B**	Buybacks per year **$1.3B**	Buybacks per year **$1.5B**

Revenue

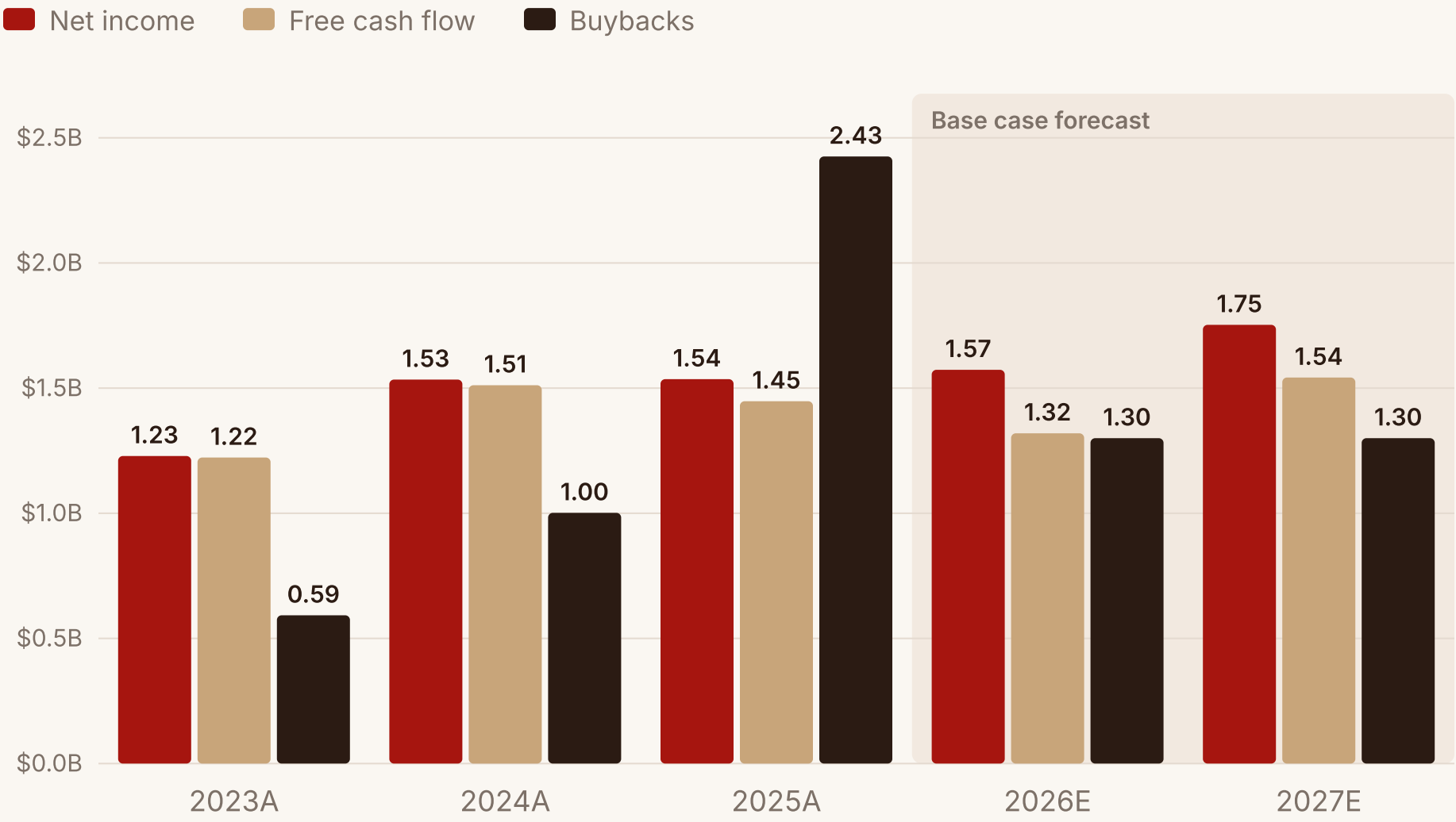


Net income



2025 buybacks were 1.7× free cash flow

Net income, free cash flow and share repurchases ($B)



Cash + investments

$2.29B → $1.25B

End of 2024 to end of 2025, as buybacks outran free cash flow.

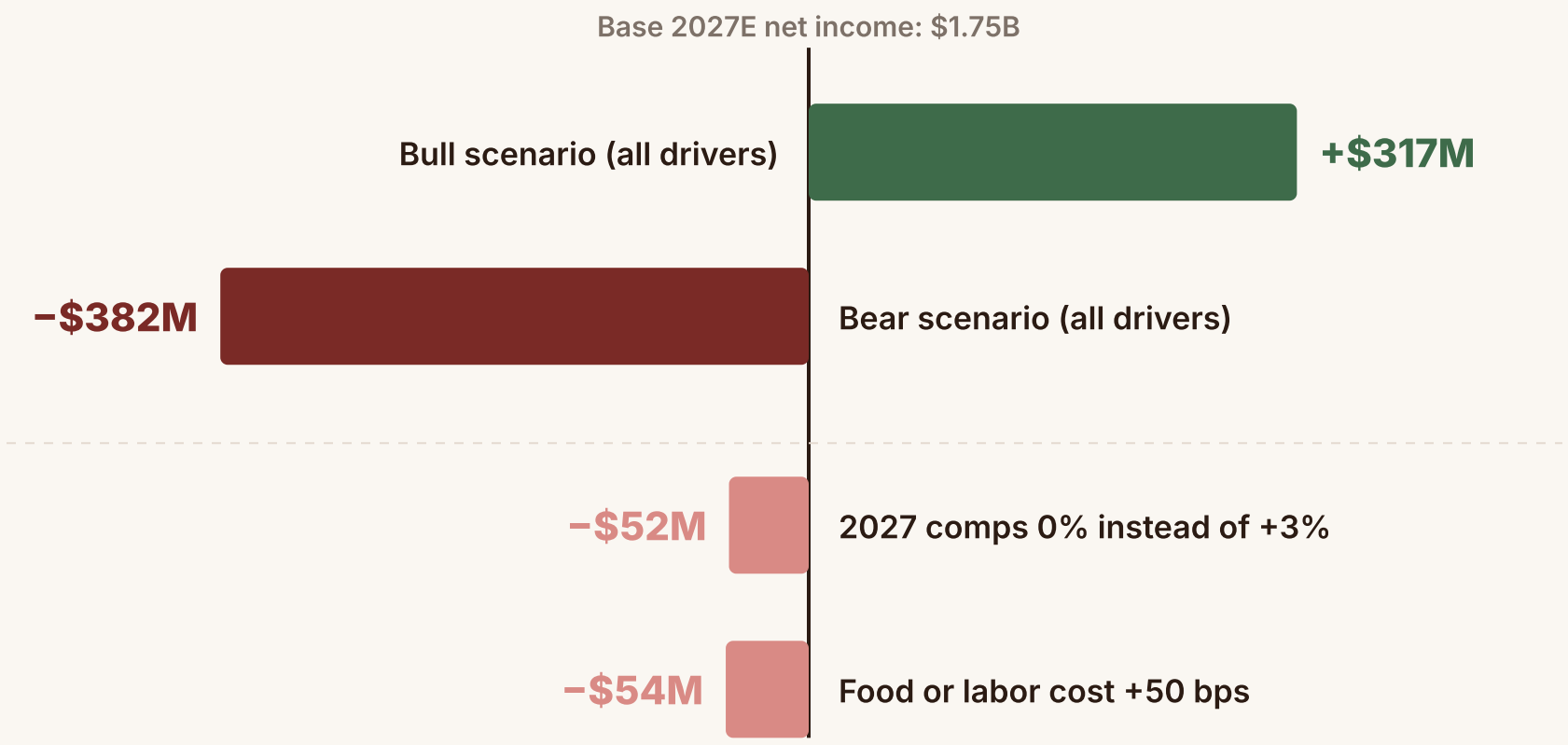
2026E at $1.3B of buybacks

~99%

of free cash flow returned; cash ends 2026 near $370M.

Bear to Bull: a $699M range in 2027 net income

Impact on 2027E net income vs. the Base case. Three points of comps and 50 bps of food or labor cost each move it about $50M.



Change in 2027E net income vs. Base; single-driver shocks hold everything else constant.

3 points of 2027 comps

−$419M

of 2027 revenue if comps are 0% instead of +3%.

Buyback pace

$1.3B / yr

leaves little cushion if comps disappoint; slowing buybacks is the main liquidity lever.

Every input has a source

Base case. Green = tied to Chipotle's guidance; tan = my assumption.

GUIDANCE

345

2026 openings

Feb 2026 guidance: 350–370 incl. 10–15 international partner-operated

GUIDANCE

0%

2026 comparable sales

Feb 2026 guidance: "about flat"

GUIDANCE

25%

Tax rate

Midpoint of 24–26% guidance before discrete items

MY ASSUMPTION

360

2027 openings

Continues ~8% unit growth; 13 closures a year

MY ASSUMPTION

+3%

2027 comparable sales

Recovery year after a flat 2026

MY ASSUMPTION

$1.3B

Buybacks per year

Policy input; cash is the balancing item

MY ASSUMPTION

83.5%

Cost ratios, % of revenue

Food, labor, occupancy, other, G&A and D&A; at or slightly above 2025

MY ASSUMPTION

$1.5M

Capex per new restaurant

Plus $290M a year for existing restaurants and corporate

MY ASSUMPTION

3.5%

Interest yield

On beginning-of-year cash and investments

Simplifications. Leases, investments and other long-term items held at 2025 levels; stock-based compensation flat; EPS not modeled. FY2025 budget: 330 openings and +4.0% comps (Feb 2025 guidance), 26% tax, 16.5% margin.

Sources: Chipotle FY2025 Form 10-K; Q4 and full year 2025 results and 2026 outlook (Feb 3, 2026); 2025 outlook, Form 8-K exhibit 99.1 (Feb 4, 2025). Independent analysis of public information, not investment advice.

CMG —— TAKEAWAYS

What this project shows

1. A linked, self-balancing 3-statement model built by hand, so every formula can be explained line by line.

2. Variance analysis that splits a revenue miss into volume, comparable sales and other per-restaurant effects.

3. A scenario engine that turns one assumption change into a full re-forecast.

4. Findings packaged for decision-makers: a Power BI dashboard and a written FP&A memo.

Skills demonstrated

FP&A · 3-Statement Modeling · Scenario Analysis · Variance Analysis · Forecasting · Excel · Power BI · DAX

Built from Chipotle's FY2025 Form 10-K and public guidance · full model available on request

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